

DIGITAL DECEPTIONS Types of financial fraud and how to recognise them

TYPE OF FRAUDS	HOW IT'S DONE	HOW TO IDENTIFY IT
▶ Phishing	Fake emails or messages pretending to be from banks or payment apps	• Emails/SMS asking for OTP • Links to fake websites • Grammar or spelling errors
▶ SIM swapping	Fraudsters duplicate your SIM card to intercept OTPs	• Sudden loss of mobile network • Unable to make or receive calls
▶ Card skimming	Devices are installed at ATMs or POS terminals to capture card details	• Unusual attachments on ATMs or POS terminals
▶ Vishing	Fraudsters call pretending to be bank officials	• Calls asking for personal or banking details by creating a sense of urgency or fear
▶ Fraudulent UPI requests	Fraudsters send fake UPI payment requests	• Unexpected UPI payment requests/requests from unknown contacts
▶ Overpayment scams	Fraudsters send a small amount and ask for a larger amount back, claiming an error	• Receiving small payments from unknown sources • Requests to return a larger amount than received
▶ Fake customer service numbers	Fraudsters post fake customer service numbers online	• Unverified customer service numbers online; • Request for personal or banking details during the call

SOURCE BANKBAZAAR

modelling and behavioural analytics tools are being used to detect complex fraud strategies like deep-fakes and other emerging threats, explains Kumar of Futurix.

BEST PRACTICES

If you become a victim of fraud, block your card first. Contact the call centre or block it online through the app. The bank will then issue you a replacement card with a different number. Reporting fraud quickly can reduce your liability and enhance the likelihood of reversing the transaction. The RBI has set guidelines that outline a customer's liability in the event of fraud. For instance, there is no liability if you report the incident within three days.

However, there are instances in which cardholders might not be protected. If you don't report an unauthorised transaction to the bank quickly, you may have to pay. If you unintentionally share your card PIN, OTP, or other sensitive information, then the liability is all

yours. Additionally, the 'Zero Liability' policy may not provide coverage for business or prepaid cards, unlike regular consumer cards.

The most crucial step after blocking the card is to file a complaint with the local police and Cyber Crime Cell. The government has set up cyber crime cells in major cities to handle these complaints. You can also file your complaint online at Cybercrime.gov.in.

To lower the risk of fraud, first set the transaction limit on your card. Use your credit card's built-in controls to limit the places and methods where you can use it, such as online, at point-of-sale terminals, or through tap & pay. Set transaction limits for various types of transactions to minimise liability for unauthorised use. Adjust these settings for domestic and international transactions if possible.

It is important to refrain from sharing any sensitive data such as credit card details, PINs, or login passwords with others; be careful when it comes to sharing personal

information online and using public Wi-Fi. It is best to avoid entering sensitive banking information over unsecured networks.

To monitor usage, enable transaction alerts for all your cards. Regularly review your credit card and bank statements to detect unauthorised transactions. Moreover, when paying at restaurants or fuel stations, keep your card within sight. Use EMV chip cards to reduce skimming risks, and report any unusual activity with the card slot or point-of-sale device immediately.

"Most importantly, be discreet about what you upload on social media. Remember, your pictures or videos can be used to create visual or audio personas mimicking you. Ideally, keep your profile open only to friends and block unknown people. Stay updated on news about deep-fake scams and how the technology is being misused. This can help identify such scams if you are ever targeted by one," says Shetty. **BT**

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